

	Pennsylvania Power & Light	Southern California Edison Co. (added for comparison)
Item	Results for year ended June 30, 1939	
Gross	\$39,232,000	\$44,421,000
Depreciation	2,815,000	6,872,000
Percentage of gross	7.2%	15.5%
Balance for charges	13,985,000	19,349,000
Charges and pfd. dividends	10,171,000	11,891,000
Times earned	1.38 times	1.63 times
Balance for common	3,814,000	7,458,000
Price of pfd. stock July 1939	95 for \$5 div. issue	29 for \$1.50 div. issue
Yield on pfd	5.26%	5.17%
Depreciation on income tax basis (1938)	4,947,000	
Percentage of gross	12.6%	
Charges and preferred dividends earned, income tax basis	1.17 times	

	American Power & Light	Pacific Lighting (added for comparison)
Item	Results for calendar year 1929	
Gross	\$88,222,000	\$43,275,000
Depreciation	5,317,000	5,525,000
Percentage of gross	6.0%	12.9%
Balance for charges	44,349,000	14,257,000
Fixed charges and pfd. dividends	32,762,000	7,623,000
Times earned	1.36 times	1.87 times
Balance for common	11,587,000	6,634,000
High price of \$6 pfd. in 1930	107	106
Low price in 1938	19	99

Instances When Income Tax Basis Should Be Rejected or Questioned.

The reader may note that we have counseled acceptance of the income tax basis "in general." The suggestion is qualified because there may at times be reasons either to accept the annual report figures or even to seek a third basis of amortization.